



KCB

Making the
Difference

KCB GROUP LIMITED

3Q 2016 FINANCIAL RESULTS

PRESENTATION

NOVEMBER, 2016



KCB

Making the
Difference

OPERATING ENVIRONMENT

The Banking Amendment Act set a cap and floor on loan and deposit rates respectively

- KCB is fully compliant with the Act
- All loans are priced at 14.0% or below
- All qualifying accounts are earning 7.0% on deposits

Key mitigation strategies include:

- Enhanced focus on NFI and the Fintech Proposition
- Growing market share
- Managing Costs
- Consolidating International Business



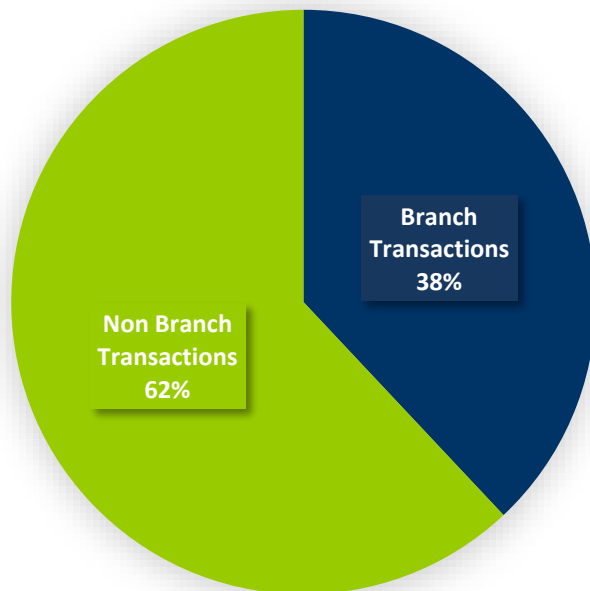
KCB

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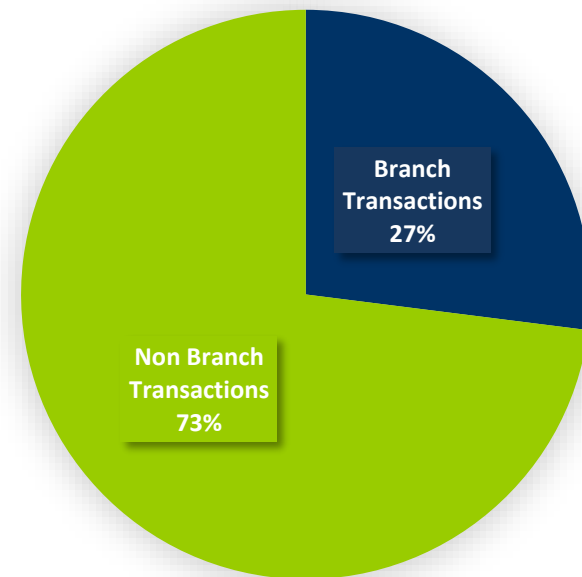
DIGITAL CHANNEL PERFORMANCE

73% of Transactions outside the Branch

3Q15



3Q16



Number of deposit accounts

- To Sept 2016 8.3M
- To Sept 2015 4.3M

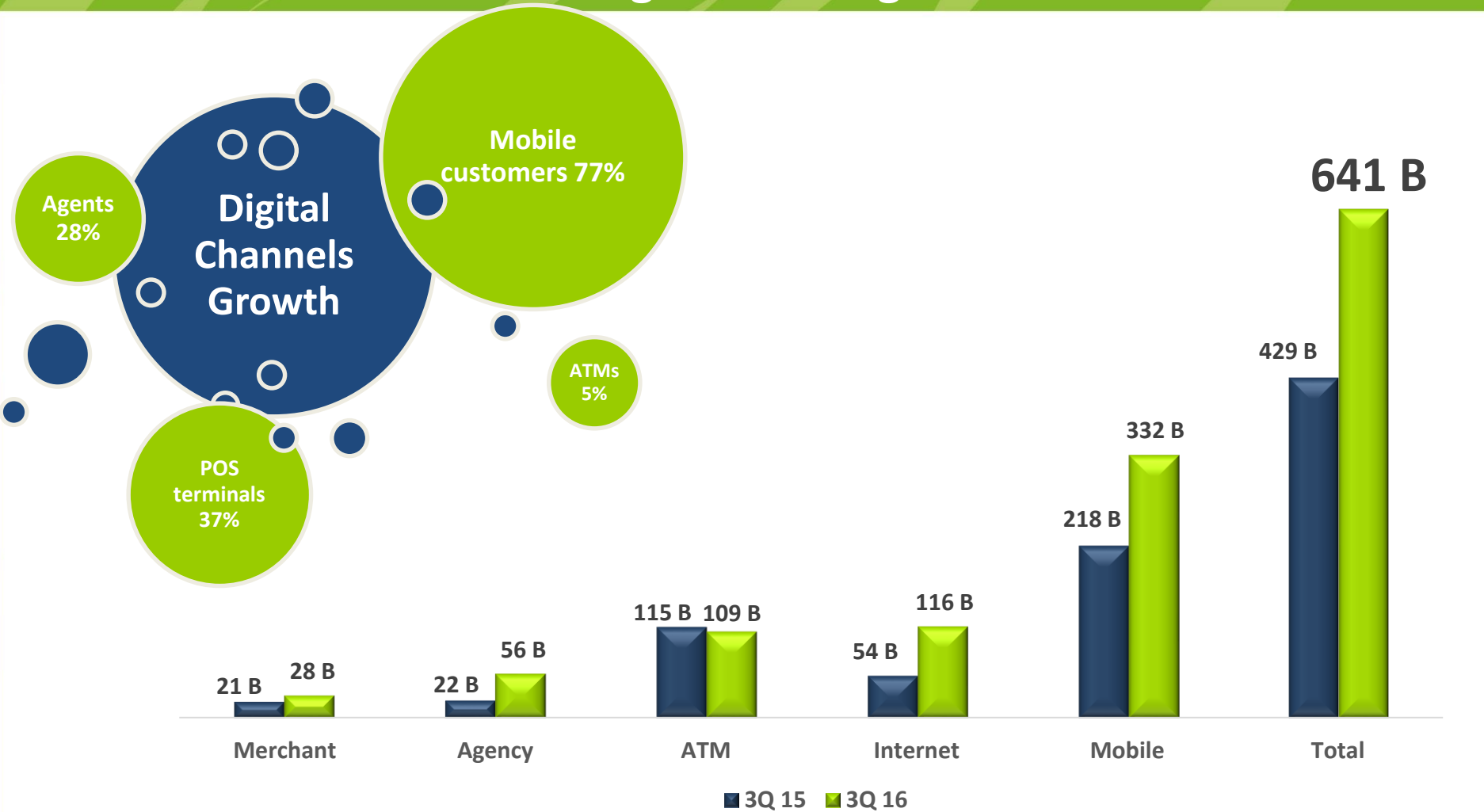
Number of loans

- To Sept 2016 4.1M
- To Sept 2015 1.9M

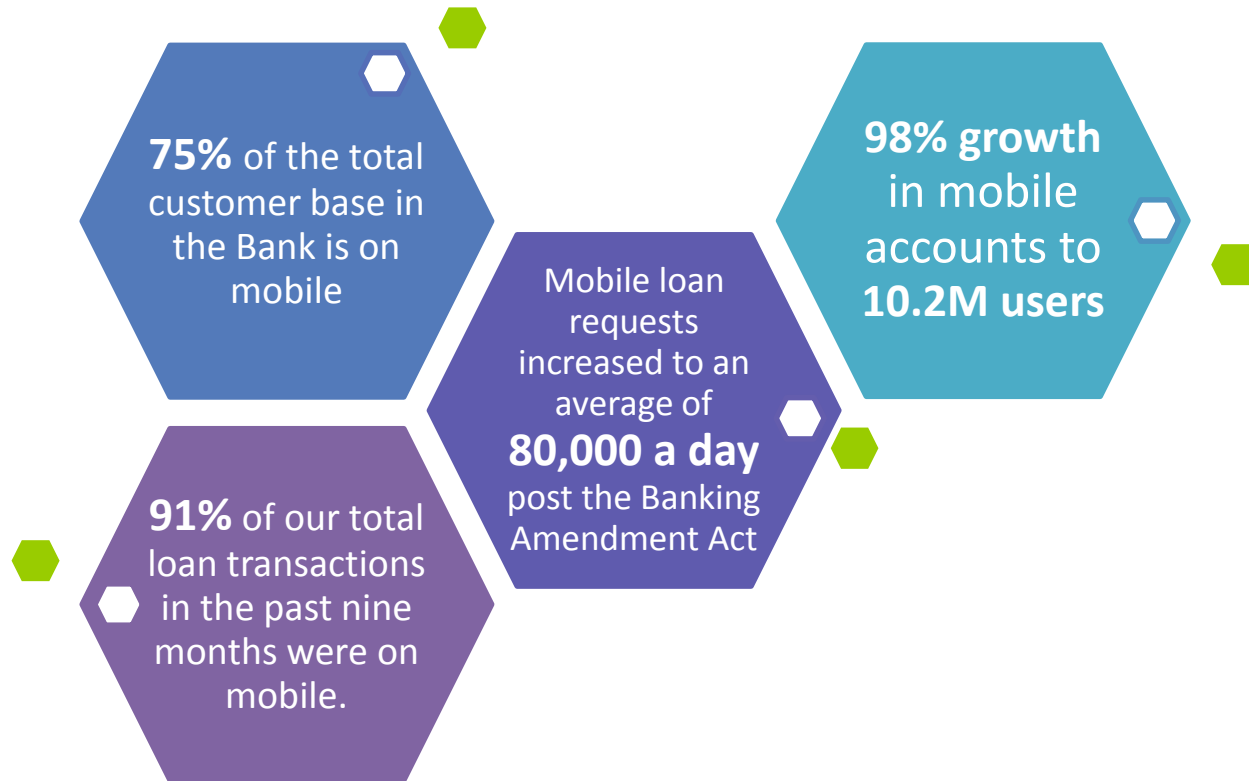
Value of Mobile Loans

- Sept 2016 KES 17.0B (18 months)
- To Sept 2015 KES 4.3B

Value of Digital Banking from KCB



The Power of Mobile Banking





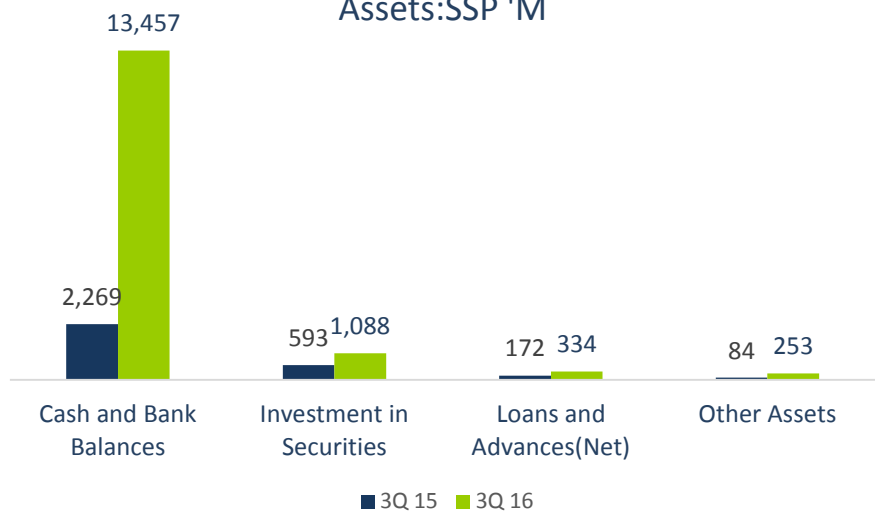
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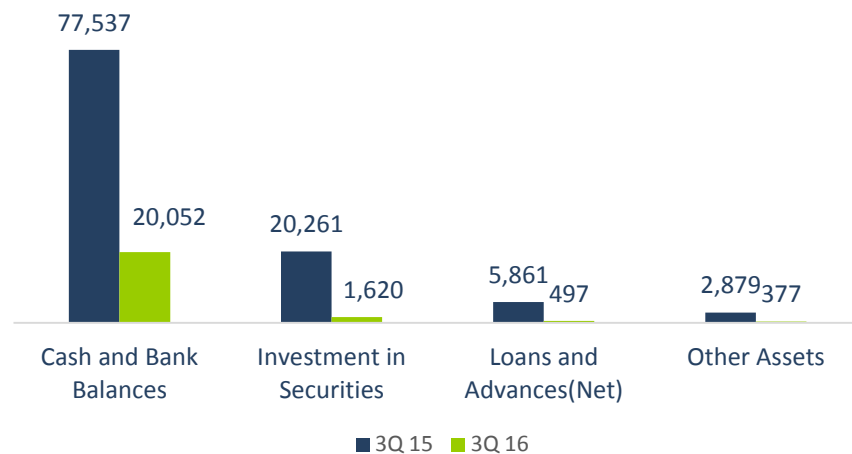
OUR PERFORMANCE TO DATE

-79% Balance Sheet Impact in South Sudan

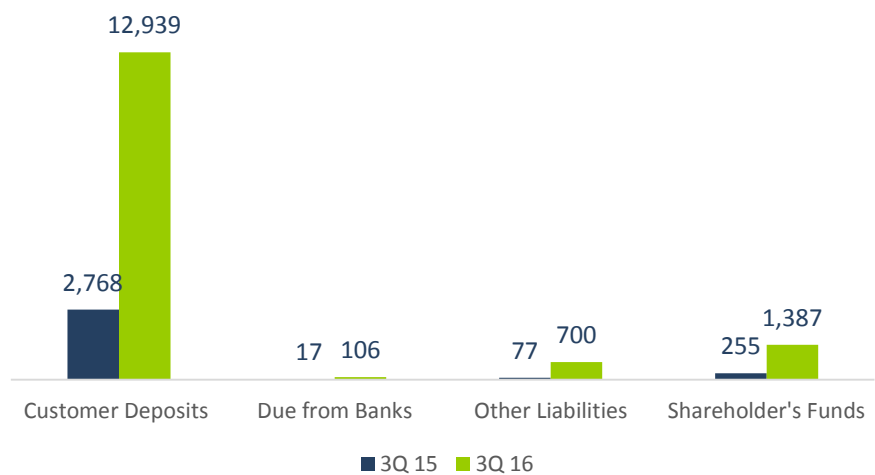
Assets: SSP 'M



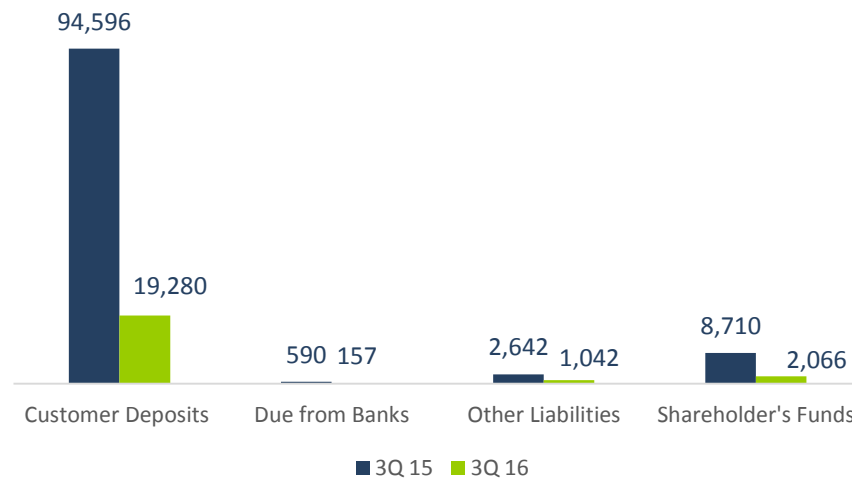
Assets: KES 'M



Funding: SSP 'M



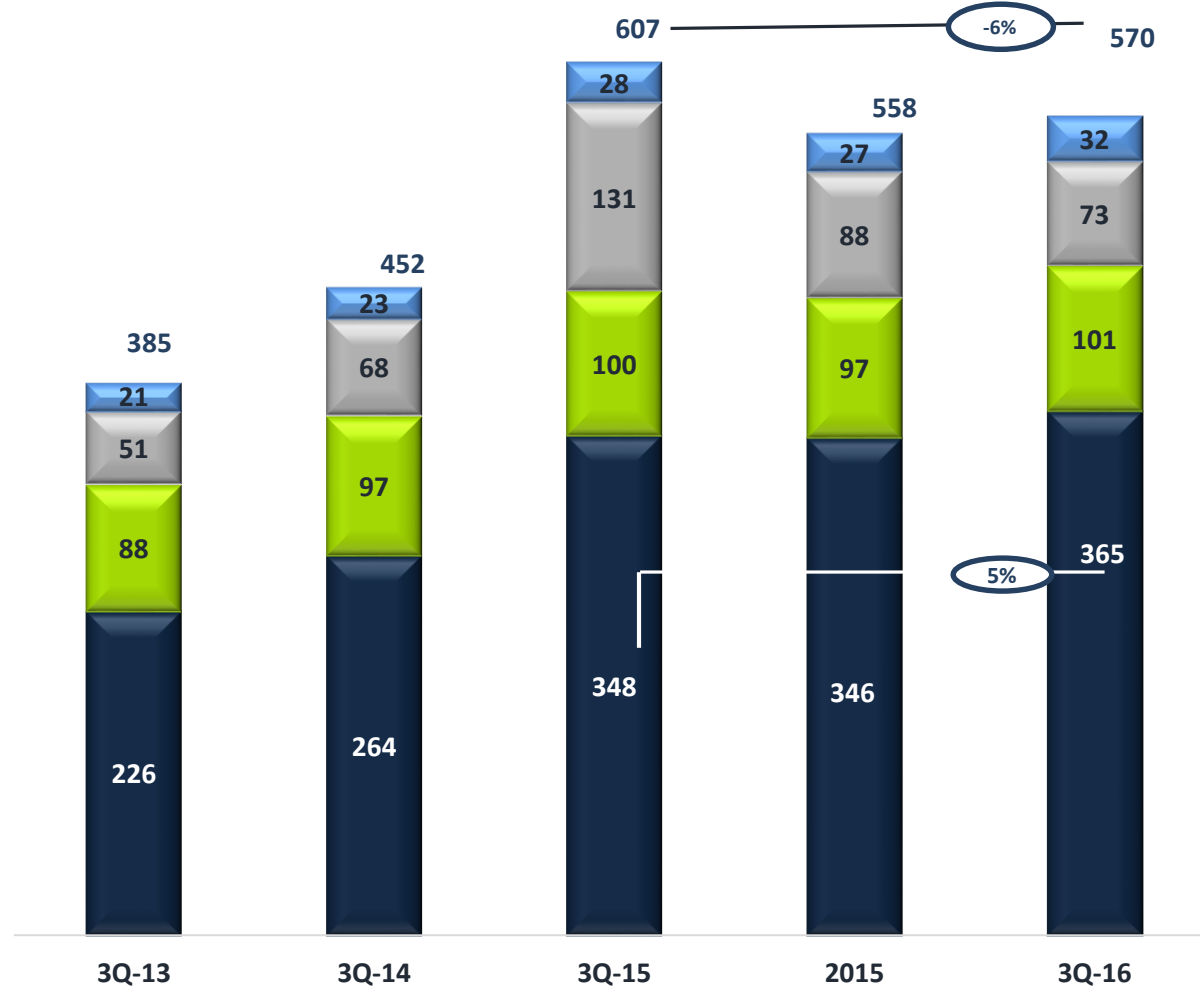
Funding: KES 'M



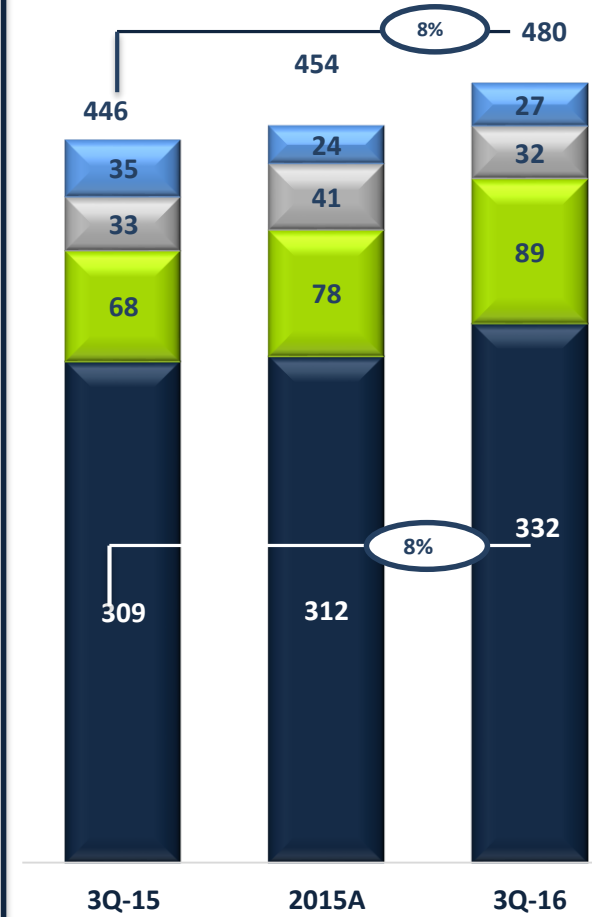
5% Growth in Loans and Advances driven by the Kenya Business

KShs B

Group Asset Portfolio

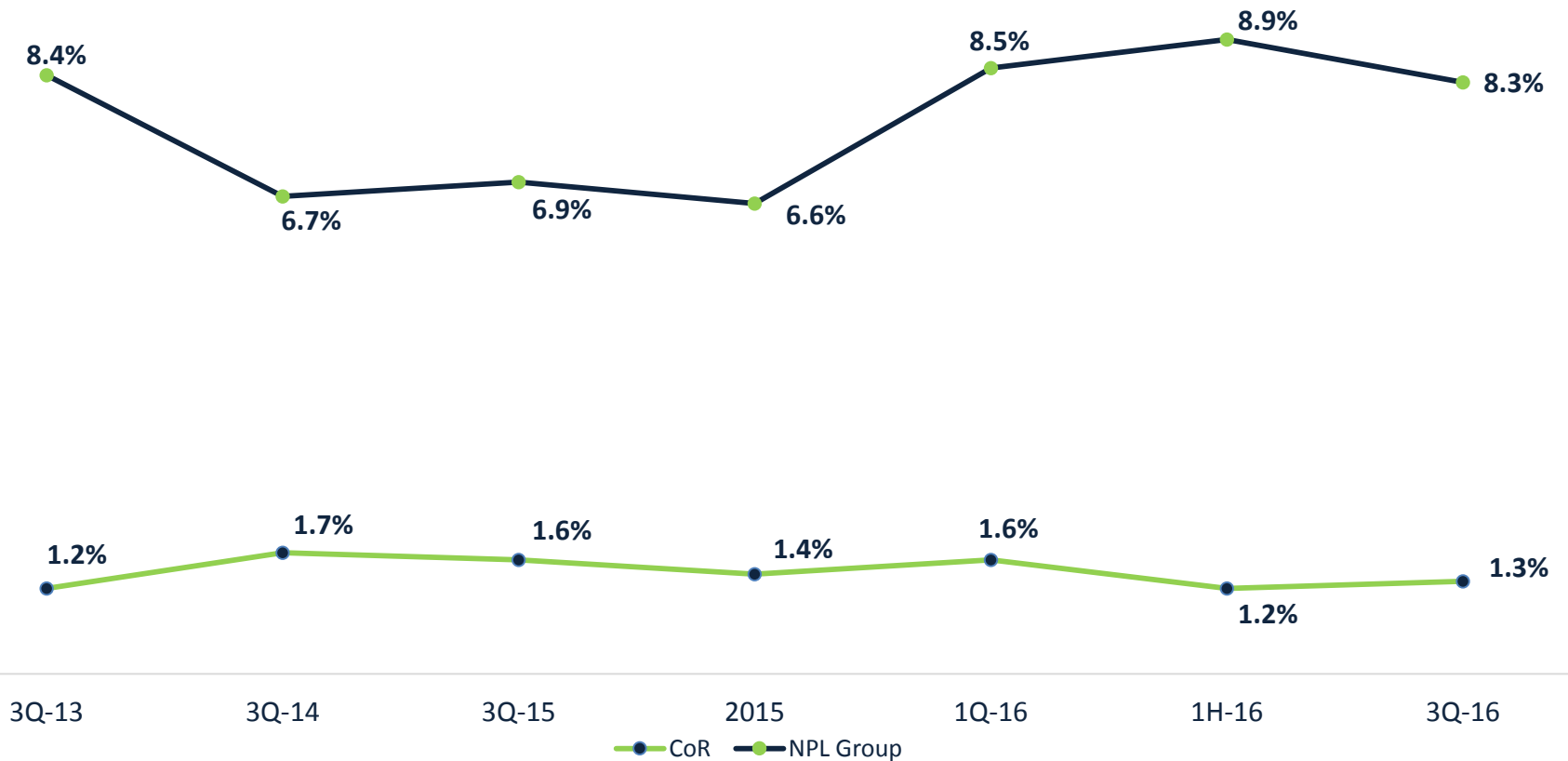


Kenya Asset Portfolio



Net Loans and advances
 Investment in Govt. Securities
 Cash and Balances with Central Bank and other Financial Institutions
 Other Assets

Turnaround in Asset Quality Performance

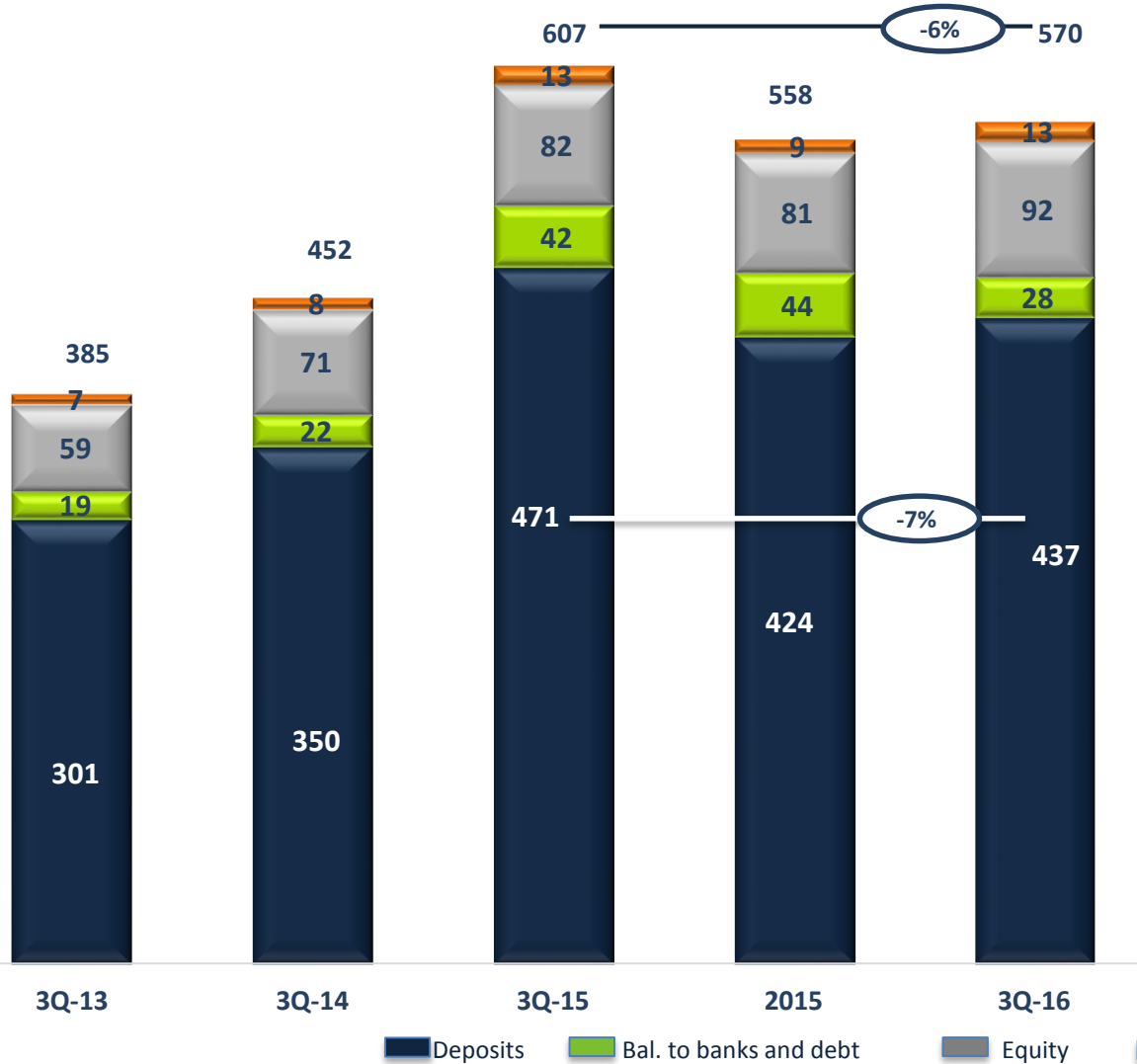


Strengthened Coverage Position QoQ

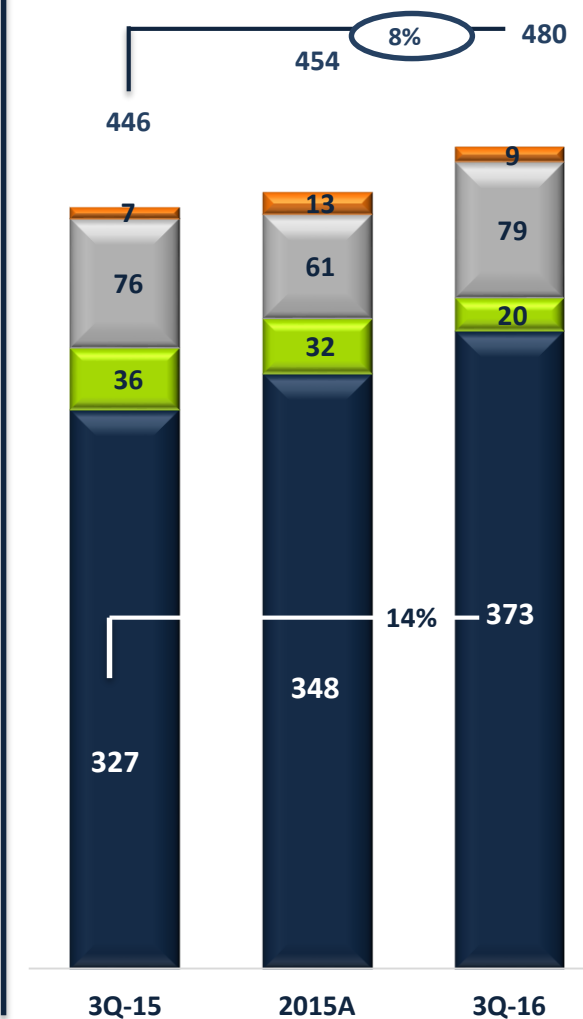


77% of Funding from Deposits

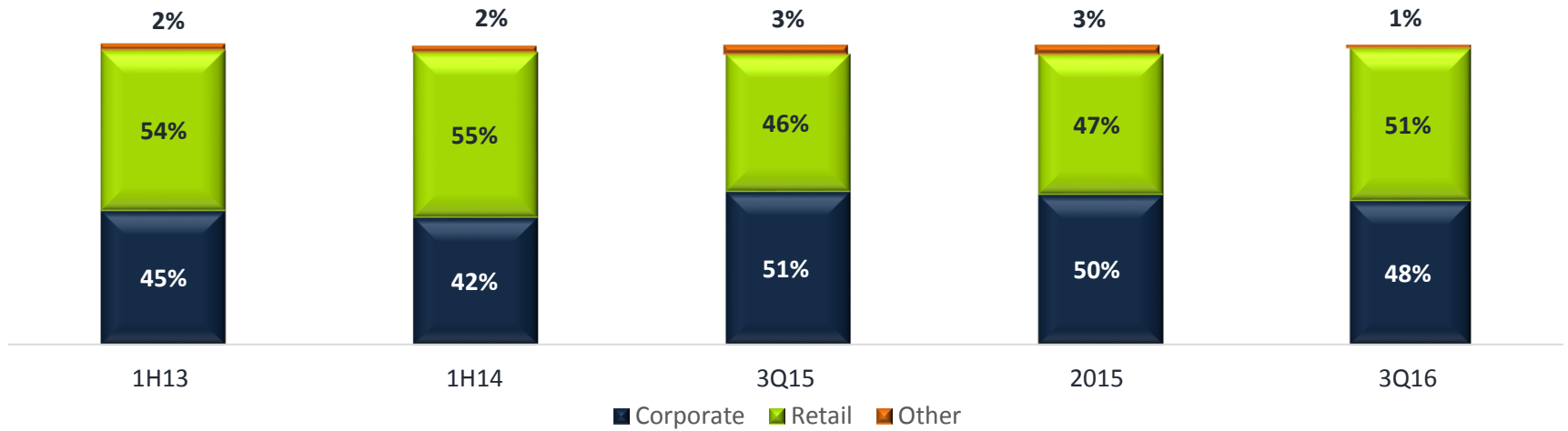
KShs B



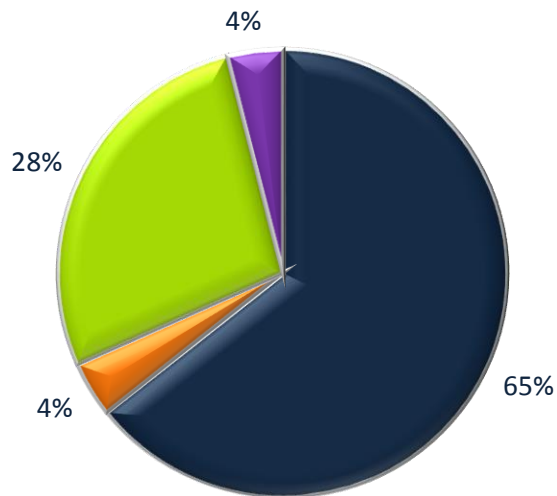
Kenya Funding Portfolio



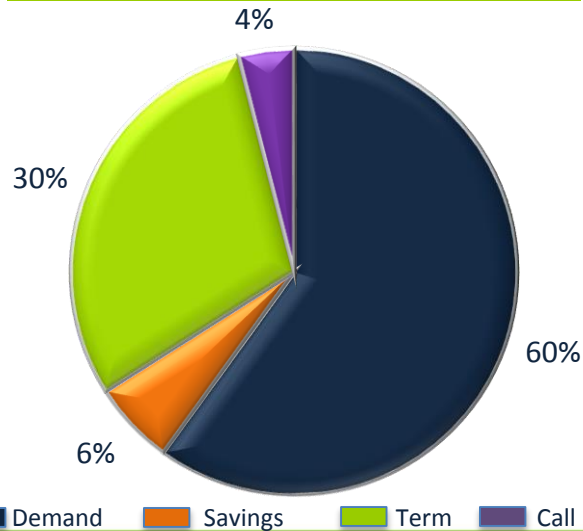
Robust Deposit Mix: Primarily Demand



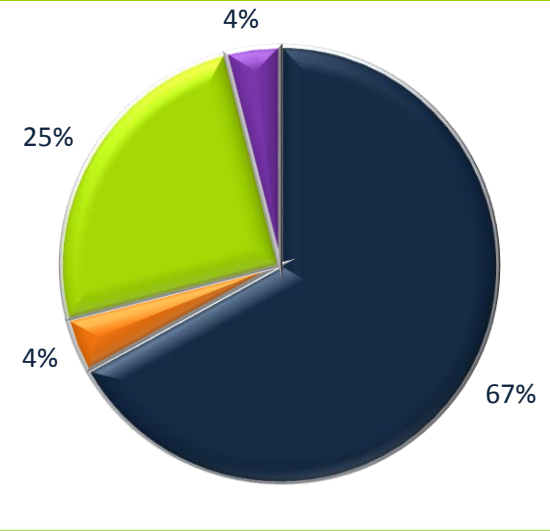
Deposits by Type 3Q16



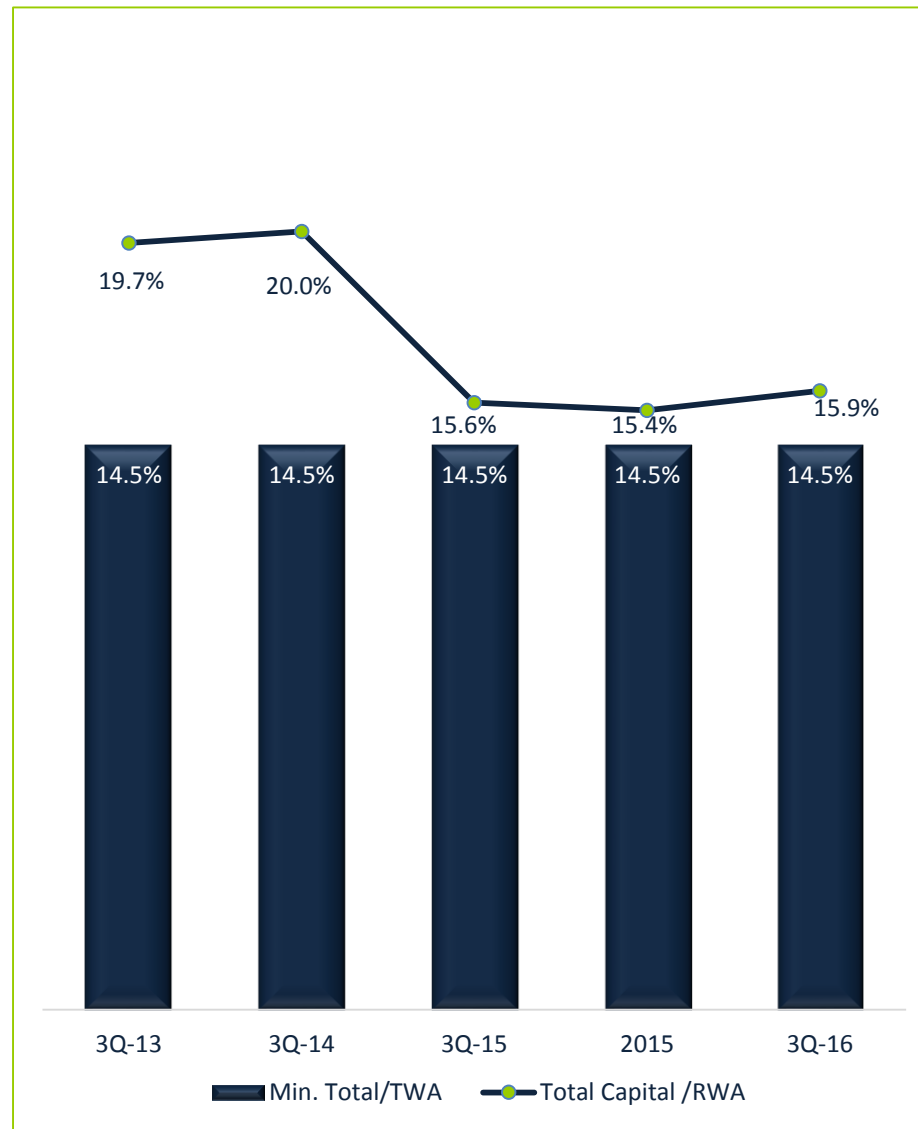
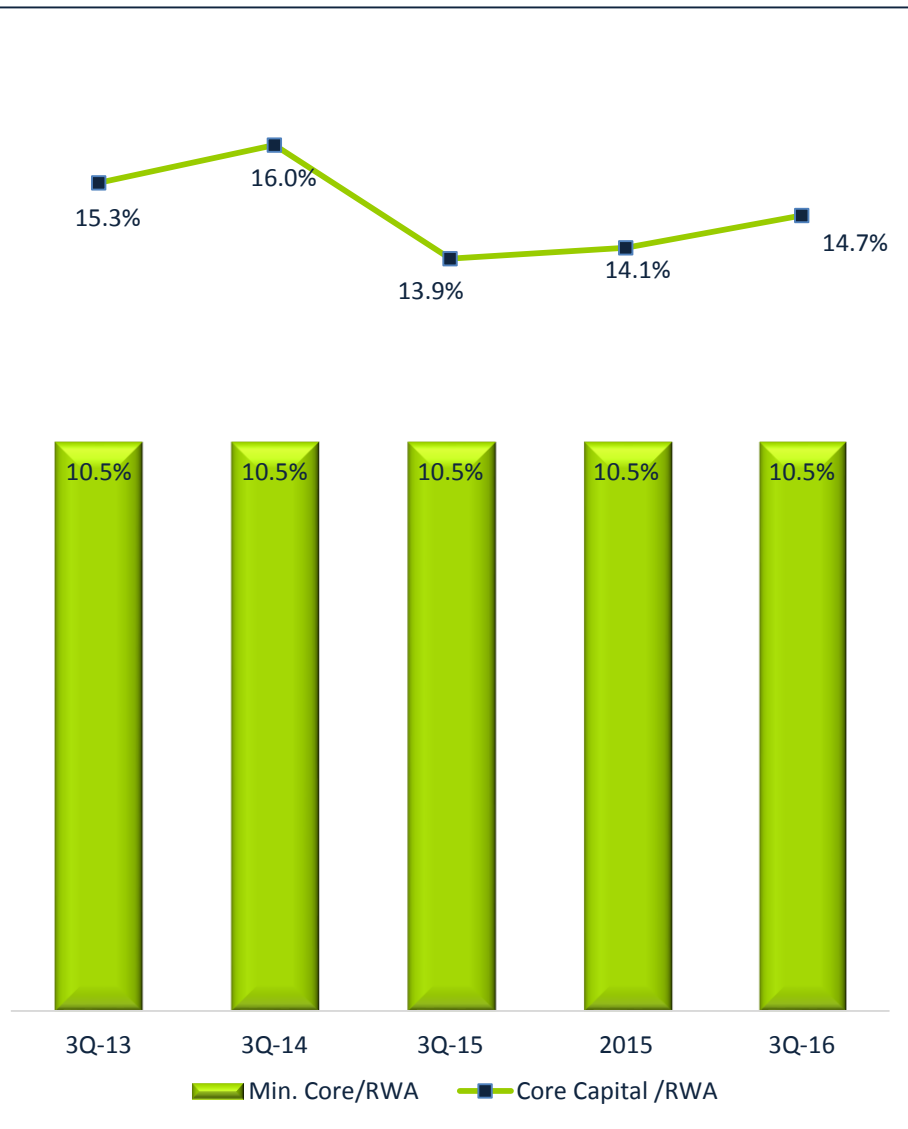
Deposits by Type FY15



Deposits by Type 3Q15



Well Managed Capital Position



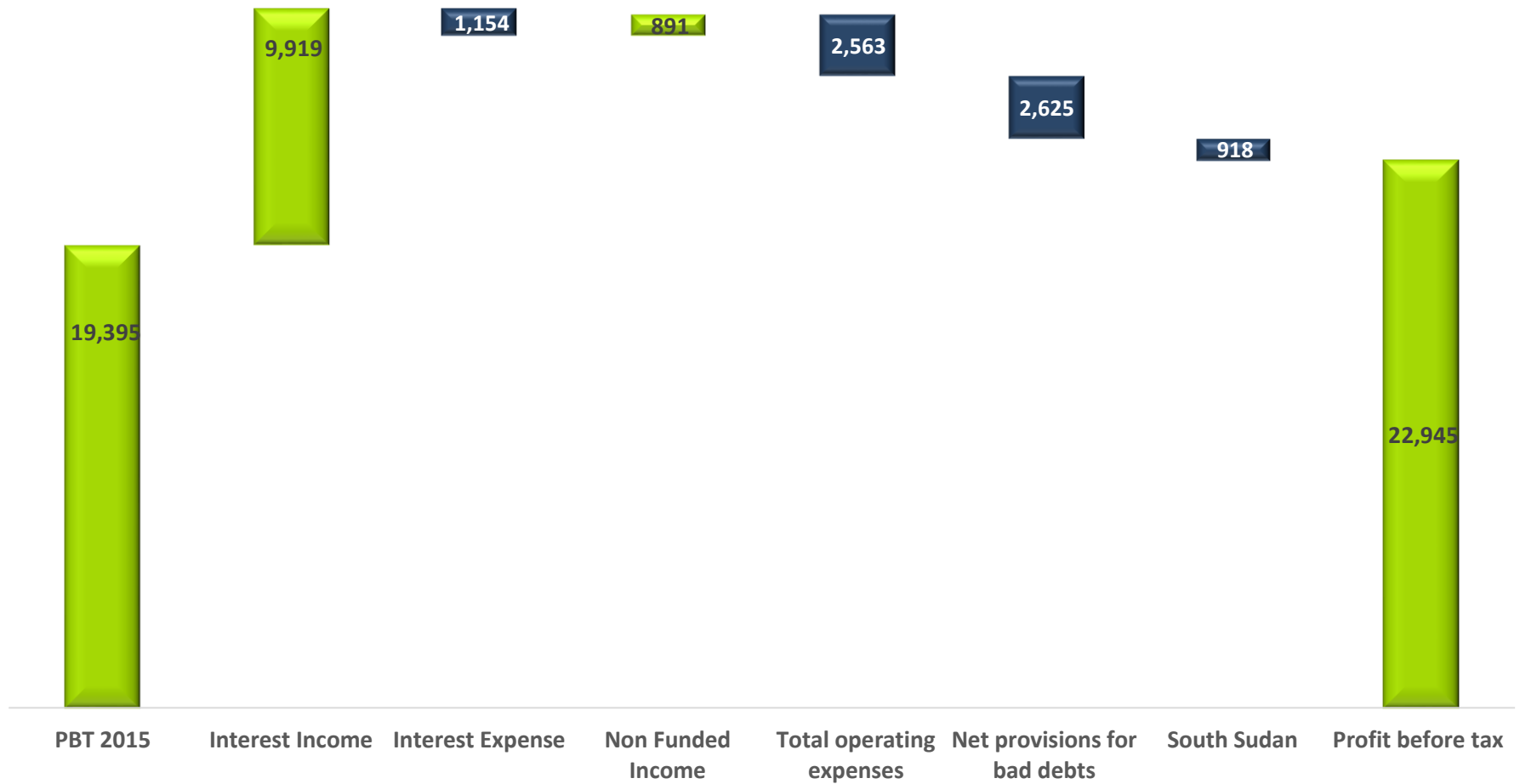
Healthy Group Balance Sheet

KShs Millions	KCB BANK KENYA			KCB GROUP		
	Actual Sep - 16	Actual Sep - 15	Y-O-Y Change	Actual Sep - 16	Actual Sep - 15	Y-O-Y Change
Cash	6,535	6,914	(5%)	10,435	16,269	(36%)
Balances with Central Bank	16,710	17,908	(7%)	16,710	17,908	(7%)
Balances with other institutions	9,087	8,286	10%	45,605	97,124	(53%)
Investments in Government & Other securities	89,104	68,446	30%	100,814	100,059	1%
Net loans and advances	332,283	309,091	8%	364,525	347,650	5%
Fixed assets	9,032	7,336	23%	12,052	11,022	9%
Other assets	17,477	27,794	(37%)	19,960	17,219	16%
Total Assets	480,228	445,776	8%	570,101	607,252	(6%)
Customer Deposits	372,612	326,866	14%	436,816	471,055	(7%)
Balances due to other banks	4,936	15,326	(68%)	12,054	19,145	(37%)
Other liabilities	8,835	6,979	27%	13,297	12,715	5%
Long-term debt	14,733	20,798	(29%)	15,968	22,507	(29%)
Total Liabilities	401,115	369,969	8%	478,135	525,423	(9%)
Shareholders' Equity	79,113	75,806	4%	91,966	81,829	12%
Total Liabilities and Equity	480,228	445,776	8%	570,101	607,252	(6%)

Strong Operating Income boosts Earnings

KShs Millions	KCB BANK KENYA			KCB GROUP		
	Actual Sep - 16	Actual Sep - 15	Y-O-Y Change	Actual Sep - 16	Actual Sep - 15	Y-O-Y Change
Interest Income	43,359	34,513	26%	48,591	39,664	23%
Interest Expense	10,442	9,780	7%	12,450	11,306	10%
Net interest income	32,917	24,732	33%	36,141	28,359	27%
Foreign exchange income	1,618	1,730	(6%)	2,399	2,927	(18%)
Net fees and commissions	6,890	6,785	2%	9,492	10,324	(8%)
Other income	1,837	1,359	35%	1,936	1,724	12%
Total operating income	43,262	34,606	25%	49,968	43,333	15%
Total operating expenses	18,977	16,819	13%	24,001	22,445	7%
Net provisions for bad debts	2,577	771	>100%	3,022	1,493	102%
Profit before tax	21,708	17,015	28%	22,944	19,395	18%
Tax	6,512	5,105	28%	6,997	5,470	28%
Profit after tax	15,196	11,911	26%	15,947	13,925	15%

Evolution of our Profitability YoY



Overview of Key Financial Ratios

3Q15	FY15	1H16		KENYA	GROUP
23.3%	25.0%	24.4%	Return on Average Equity	28.8%	24.6%
49.1%	50.1%	47.9%	Cost to Income	43.5%	47.7%
6.9%	6.6%	8.9%	Gross NPL to Gross Loans	7.7%	8.3%
80.0%	79.5%	71.1%	NPL Coverage	77.5%	76.0%
27.5%	24.8%	19.5%	Debt to Equity	18.6%	17.4%
37.9%	37.3%	31.6%	Non funded income to total income	24.6%	28.9%
3.3%	3.9%	3.9%	Cost of funds	3.6%	3.6%
8.0%	8.8%	9.7%	Net Interest Margin	11.0%	10.0%
1.6%	1.4%	1.2%	Cost of risk	1.2%	1.3%
74.0%	83.8%	80.2%	Loan to Deposit Ratio	89.0%	84.0%
32%	22%	8%	Growth of Net Loans and Advances	8%	5%
35%	12%	-2%	Growth of Customer Deposits	14%	-7%

Solid Foundation for the Future

The bank has successfully concluded the **Tier 2 capital** raising exercise; A solid base for 2017 growth

Successful implementation of the latest version of our **Core Banking System**

Implementation of measures and strategies to deliver strong **ROE >24%**

Enhancing our **Digital Finance Proposition**

Continued action to improve the **asset quality to <6%**

Consolidation and support of our **International businesses**



For further information please contact

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